

12 The economic rationale of trade marks: an economist's critique

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Introduction

I found Andrew Griffiths' chapter a fascinating read. As an economist previously unfamiliar with the foundations of trade mark law, I was surprised to learn of the dominant influence of 'Law-and-Economics'. One reason for my surprise is that Law-and-Economics rests on a very particular approach to economics, one arguably not shared by the majority of economists. Law-and-Economics rests on what might be loosely termed 'Chicago economics', which overlaps heavily, but does not coincide, with orthodox neo-classical economics. Thus Griffiths' tendency throughout to refer to the foundations of Law-and-Economics as 'neo-classical' economics is rather misleading. This is not the place to describe the distinctive features of Chicago economics in detail; I offer one here as an illustration. Chicago economics, and so Law-and-Economics, assumes that individuals are self-interested, in a narrow sense: individuals always maximize their own personal material benefit. Law-and-Economics, then, is the world of that caricature, *homo economicus*. I will return to exactly why it is a caricature later. In contrast, while neo-classical economics is well known for positing 'utility maximizing' agents, utility is defined in entirely formal terms as the numerical representation of individual preferences. Hence 'utility maximization' becomes merely 'maximization of preference satisfaction', or, more prosaically, 'doing what you want to do'. And if your preferences are best described as 'self-sacrificing' rather than 'self-interested', then so be it: 'The postulate that an agent is characterised by preferences rules out neither the saint nor Genghis Khan.'¹

Griffiths seems to use Law-and-Economics both to explain, in a positive fashion, why trade mark law has developed in its present form, and also to justify, as a normative analysis, why trade marks are good for society. In their seminal paper, Landes and Posner state on the first

¹ F. Hahn and M. Hollis, *Philosophy and Economic Theory* (Oxford: Oxford University Press, 1979) 4.

page that ‘This is an essay in positive rather than normative ‘law and economics’. We use economics to try to explain the structure of trademark law rather than to change that law. Our overall conclusion is that trademark law, like tort law in general ... can best be explained on the hypothesis that the law is trying to promote economic efficiency.’² However, I find a strong normative purpose in Landes and Posner’s analysis, even if they are not trying to change the law: by explaining the law in terms of economic efficiency, they justify it. But regardless of whether the appropriate label is ‘positive’ or ‘normative’, I take Griffiths’ principal concern to be with the justification of trade mark law, and that is my focus in what follows.

I shall have nothing more to say about why trade mark law has developed as it has, save for the remark that, *if the homo economicus* worldview is granted, then it clears the way for a different positive economic analysis of trade marks, one not mentioned by Griffiths, although arguably closer to the understanding of most observers of the historical evolution of trade mark law. That analysis is rooted in public choice theory, the branch of economics which supposes that the development of political and legal institutions can best be understood as the outcome of competition among vested interests. In short, public choice theorists would look to the influence of powerful firms, who, through lobbying, campaign contributions and so forth, seek to persuade legislators to enact laws which will serve the firms’ interests. Trade mark law seems a *prima facie* example worthy of investigation in this light.

I turn now to the normative justification of trade marks offered by Law-and-Economics.

Justifying trade mark protection

According to Griffiths, Law-and-Economics shows that trade marks bring two benefits to society: they convey information about the product, and they protect some kind of intangible output associated with the product but separate from it, and of value in itself.

Trade marks as information

The idea that trade marks convey useful information is the more developed argument, originating in Law-and-Economics with the work of Landes and Posner. They focus on the ‘search costs’ which consumers

² W. Landes, and R. Posner, ‘Trademark Law: An Economic Perspective’ (1987) 30 *Journal of Law and Economics* 265.

face when trying to decide which product to buy, if they have imperfect information about it. Trade marks are argued to reduce these search costs by conveying additional valuable information about the products which bear them. But what exactly is this valuable information? Classically, trade marks indicate trade origin. The European Court of Justice (ECJ) has stated that a trade mark is a 'guarantee of origin'. This is widely interpreted as a guarantee that the product originates from a process of production and distribution which is 'under the aegis of', or 'authorized by', the firm which controls the trade mark. In some sense the firm 'assumes responsibility' for the product. As an economist, I shall not attempt to analyse the richness of meaning captured by generations of legal interpretation. Instead, I persist in asking: What information is conveyed? What precisely is guaranteed to the consumer by a guarantee of origin? There is no guarantee regarding the product's function or fitness for purpose, nor that it has been made in a particular way or at a particular location. The firm 'authorizes' the product, but this conveys little information because authorization decisions, passive or active, are made by people, and the personnel of the firm may change rapidly. The 'responsibility' borne by the firm does not seem one which involves any kind of obligation, and, conversely, confers no rights on the consumer. To a cynical economist, it seems that the only thing *guaranteed* to the consumer is that the trade mark owner will take a share of the profits on the sale of the product. My central concern here is that there appears to be a trade-off between how much information is conveyed by the trade origin, and the degree to which 'trade origin' is a portable legal device carried from one set of production, distribution and after-sales arrangements to another. The commercial flexibility embodied in trade marks, so valuable to firms, limits the information that they can convey.

There is of course an obvious response to these worries. It is that a firm controlling a trade mark has a stronger incentive to maintain a good reputation, or goodwill. Assuming that products bearing a trade mark are more easily recognizable and memorable, consumer experience with such products is more likely to affect future sales. Since it is portable across diverse production arrangements, the trade mark helps a firm maintain a continuous identity, essential to building a reputation over time. Consumers will reward firms with a good reputation with repeat purchases, and punish those with a bad reputation by avoiding them. Griffiths cites Landes and Posner describing this incentive as the 'self-enforcing' aspect of trade marks.³ The term 'self-enforcing' comes from

³ A. Griffiths, Chapter 11 of this volume, 249.

game theory, and all reputation models in economics are ultimately built on game-theoretic analysis. Unfortunately, game-theoretic models are infamous for multiple equilibria. One (Nash) equilibrium may indeed be the state where the firm has an incentive to continue producing a high-quality product, in order to maintain its reputation, and the consumer has an incentive to continue buying it, even at a higher price, because quality can be relied upon. However, the state where the firm sells a mediocre product because it cannot command a high price, and consumers will not pay more because they know it is mediocre, but nevertheless buy it because it is 'good value', may also be an equilibrium outcome of the game. The reputation model alone does not tell us which equilibrium will occur. Both are 'self-enforcing'. Trade marks cease to convey useful information in this context because consumers do not know 'which equilibrium is being played'. In other words, a consumer does not know what information the trade mark conveys; in particular, a trade mark previously associated with high quality may no longer indicate that, because the firm is now playing the mediocre / 'good value' strategy. This seems especially plausible given that the same trade mark may mask major changes in management or production arrangements which trigger a change in strategy. Or a firm may switch to a different equilibrium strategy simply because it calculates that the short-run boost to profits from reducing product quality and hence cost (combined with high sales which reflect its good reputation built up previously) is large enough to outweigh the long-run deterioration in reputation and sales once consumers discover that product quality has declined. My discussion here is illustrative: the general point is not that trade marks fail to guarantee high quality, but that they do not ensure *consistency* of quality.⁴

To put the point in a legal context, Lord Nicholls refers to 'the proprietor of a trade mark having an economic interest in maintaining the value of his mark. It is normally contrary to a proprietor's self-interest to allow the quality of goods sold under his banner to decline.'⁵ But the proprietor's self-interest is much more complex, because there is a trade-off between the cost savings from producing a lower-quality product with reduced marketing expenditure, set against the damage to reputation. It is more accurate to describe the firm's self-interest as involving building a good reputation at least cost. Often the best way of achieving this combination is through sophisticated marketing, rather than making

⁴ I am grateful to Jane Ginsburg for advising that a producer who allows the quality of its product to slide is unlikely to be divested of its mark.

⁵ [2001] ETMR 800 at para. 19, referring to the judgment of Laddie J in *Glaxo Group v Dowellhurst* [2000] FSR 529 at 540–1. (Cited in an earlier draft of Griffiths' chapter.)

high-quality products. Consumers come to *believe* the trade mark signals high quality, and may continue to do so even after purchase if the quality defects are hidden or debatable. As the central device in a marketing strategy, the trade-marked sign may be used by firms to mislead consumers rather than convey useful information, reputation arguments notwithstanding.

The argument for trade marks as useful information would be bolstered by supporting empirical evidence. If trade-marked signs provide an *aide-mémoire* for the brand, an opportunity to be remembered, then perhaps their holders take the opportunity to build a good reputation. Yet anecdotally, it does not seem that trade-marked, ‘branded’ goods are superior to their generic equivalents, whether in terms of quality, performance or reliability. This is hardly surprising, since, as noted above, the trade mark is entirely separate from the product bearing it and signals no particular mode of manufacture or person responsible. The separation is further illustrated by practices such as parallel importation. Two pairs of jeans may be identical, manufactured on the same day in the same factory, but one is allowed to bear the trade mark and the other is not, because the proprietor of the trade mark has not authorized their import.

From the Law-and-Economics perspective, there *is* evidence that trade-marked goods are superior, or at least ‘reassuring’, namely the willingness of consumers to pay more for them. This is probably the key claim in the Law-and-Economics rationale for trade marks, so I will postpone assessing it until the other putative explanation of higher consumer willingness-to-pay has been introduced – the argument that trade marks reflect the presence of a valuable intangible output in addition to the product itself.

I turn now to the supply side of the search costs argument. Landes and Posner make two standard assumptions: firms are profit maximizers, and the market structure is perfectly competitive. Griffiths mentions the first assumption, although it is worth elaborating on its importance for reputation arguments.⁶ Leaving aside the problems raised already, firms only have an incentive to maintain a good reputation if the decision-maker within the firm is concerned about future profits. I have already suggested that a firm may sacrifice its long-run reputation for the sake of very high profits in the short run, and this possibility becomes much more likely if the firm’s decision-maker is not a long-run profit maximizer. This is plausible if the firm’s decision-maker is a manager acting to serve his own interests rather than those of shareholders. Performance-related pay

⁶ Griffiths, Chapter 11 of this volume, 248, note 32.

and similar devices may help to align their interests in the short run, but are less successful in the long run, not least because by then the manager may have departed.

Following Landes and Posner, I understand that the Law-and-Economics of trade marks has always assumed the firm operates in a perfectly competitive market. I find this a wildly implausible assumption, but it raises such large issues that I can only sketch some of the reasons here. First, and most important, firms have a strong incentive to use the signs protected by trade marks to differentiate their product from others whenever they can. Product differentiation gives firms a degree of monopolistic power, allowing them to earn higher profits. The view that trade marks facilitate product differentiation and thus market power, higher profits and welfare losses has been a strand running through the trade mark literature since at least the beginning of the twentieth century, and continues today. Griffiths mentions this view, and offers no reason to reject it.⁷

Second, even if firms do not actively attempt product differentiation, imperfect competition emerges in another way from the Landes and Posner model. The information, the reassurance about product quality that trade marks provide, creates inertia amongst consumers. They stick with what they know. This gives the firm owning the trade mark a degree of market power, because it creates a barrier to entry for new firms entering the industry.

Third, the brands protected by trade marks may give rise to increasing returns to scale: there is an approximately fixed cost in establishing the brand, but the returns to the firm increase the more products are sold bearing the brand. Increasing returns to scale undermine the two fundamental theorems of welfare economics, on which much of Law-and-Economics is built. Increasing returns to scale are ruled out, by assumption, in the second theorem; and they make perfectly competitive markets virtually impossible, thus violating a key assumption of the first theorem.⁸ Thus the theoretical arguments for assuming that market equilibria are efficient (the first theorem), and that policies concerned with efficiency can be separated from those concerned with distribution

⁷ Ibid. 251.

⁸ Intuitively, if there are increasing returns to scale, small firms will be unable to compete with larger ones, because they face higher unit costs. The tendency will be towards a few large firms, not the very large number of very small firms required by perfect competition. The link here can be demonstrated formally. For an introduction to some of these complex issues, although still not easy reading, see J. Stiglitz, *Whither Socialism?* (Cambridge, Mass.: MIT Press, 1994), where he introduces some of his Nobel Prize-winning work in this field.

(the second theorem), vanish altogether. The broader lesson is that trade marks are both a symptom of imperfect competition and a means for sustaining it; against this background, models based on perfect competition are irrelevant.⁹

Trade marks as protectors of intangible output

The other justification for trade marks suggested by Griffiths is that they protect some kind of intangible output associated with the product but separate from it, and of value in itself. The intangible output might take the form of a meaning, identity or status conferred on the buyer, and valued by the buyer, although wholly independent of the functional attributes of the product. So cars, trainers and perfume are bought not just for their function, but because they attempt to suggest the buyer is wealthy, athletic or sexually alluring.

This second role of trade marks is clearly important, and Griffiths suggests in various places that it is likely to become even more so. But if it is to justify supporting or extending trade mark protection, then it must be shown that these intangible outputs benefit society. Again, the willingness-to-pay (WTP) test seems pertinent. A consumer is willing to pay more for products which embody, or are associated with, certain meanings, identities or status, because such products give him an additional benefit, or so the argument runs. It requires two steps to succeed. First, in forming their preferences, individuals must pursue their own benefit, and second, in seeking to fulfil their preferences, individuals must not make mistakes in their choices, their expressions of willingness-to-pay. Rather than defend these claims, the Law-and-Economics approach discussed by Griffiths effectively assumes them away.

Regarding the first claim, Chicago economists adhere unwaveringly to the doctrine *de gustibus non est disputandum*.¹⁰ Preferences are accepted at face value, no matter what their content or origin. On this account, it is a conceptual impossibility to argue that some preferences are mistaken or may make the individual worse off: preferences *define* what makes the individual better off. Regarding the second claim, it is held to be equally impossible to dispute observed choices as running counter to true preferences, at least in all practical cases, since observed choices provide the only reliable information about preferences: they ‘reveal’ preferences. In

⁹ Again, see Stiglitz for a broader discussion showing that ‘there are no general theorems ensuring the efficiency of market economies’: *ibid.* 65.

¹⁰ G. Stigler and G. Becker, ‘De Gustibus Non Est Disputandum’ (1977) 67 *American Economic Review* 76.

sum, observed choices define preferences and preferences define what makes the individual better off. This methodological position appears to be embraced by Griffiths, at least implicitly, because he refers uncritically to an argument of Chicago economists Becker, Murphy and Gleaser: '[T]rade marks can turn products into symbols of status even if this is not matched with any improvement in quality or other characteristics. Some neo-classical analysts have argued that this capacity contributes to social welfare through reducing the cost of satisfying a demand for social status.'¹¹

The idea here appears to be that if the consumer is willing to pay more for a trade-marked product, then it must make him better off, even if he has only come to desire it because the firm's marketing strategy has successfully associated status attributes with the product. This process of stimulating new wants (for particular status attributes, etc.) and then satisfying them is held to be 'efficient' insofar as the same benefit to consumers can be secured at lower cost through marketing expenditure rather than improving the products themselves. This argument faces several objections. To begin with, products which confer status attributes on their owner tend to impose negative externalities on others. Although Ann feels better off because of her higher status derived from owning or consuming certain trade-marked products, Bill may feel worse off, because his status has fallen due to *not* owning them. Social welfare may not be increased by trade marks which facilitate status benefits because status is relative, and one person's gain is another's loss.

The second objection is more general and goes to the heart of the problem with any WTP test of benefit. The WTP test ignores a vast body of scientific evidence concerning how we choose, and what makes us better off. For example, 'stimulating new wants and then satisfying them' is not a good recipe for improving social welfare, as we have always known intuitively, because human happiness lies in narrowing the gap between what we have and what we want, at least that part of happiness concerned with material things. This intuition has been confirmed by recent research on happiness, suggesting, for example, that most television advertising makes people dissatisfied with their material circumstances, and therefore less happy.¹² An even more influential research development has been the growth of behavioural economics, which seeks

¹¹ Griffiths, Chapter 11 of this volume, 253, referring to G. Becker and K. Murphy with E. Glaeser, 'Social Markets and the Escalation of Quality: The World of Veblen Revisited' in G. Becker and K. Murphy (eds.), *Social Economics: Market Behaviour in a Social Environment* (Cambridge, Mass.: Belknap Press, 2000) 97–8.

¹² A recent study is L. Bruni and L. Stanca, 'Income Aspirations, Television and Happiness: Evidence from the World Values Survey' (2006) 59 *Kyklos* 209.

to supplant or supplement the rational choice account of neo-classical economics with realistic psychological models of choice. Behavioural economics addresses psychological phenomena such as availability bias, misprediction of future satisfaction, and self-control problems, all of which are supported by compelling empirical evidence but hard to reconcile with standard rational choice theory. Some examples must suffice here to suggest the impact of behavioural economics and happiness research taken together.

According to one history of American advertising, its most important development occurred in the 1930s.¹³ Cigarette manufacturers discovered that smokers could not distinguish various cigarette brands on the basis of taste or smell alone. So manufacturers either had to change their product to make it truly distinctive, or make consumers *believe* it was distinctive, a generally easier and less costly strategy. Behind the argument mentioned above, that trade marks facilitate this less costly, and hence more efficient, second strategy, lurks a vision of sovereign consumers who are never deceived by marketing, and self-consciously buy certain brands of cigarette because of their association with glamorous living. But behavioural economics suggests we are easily led.

'Availability bias' concerns how readily some piece of information can be brought to mind – how available it is – and depends on how vivid, striking or distinctive the information is. More weight is attached to information merely because it is more available. Advertisers of SUVs can rest assured that one dramatic advert, showing a vehicle surviving a high-impact crash largely unscathed, will have more influence than well-publicized scientific research suggesting that SUVs are no safer for their occupants. Even if consumers know that the advert is unrepresentative, or downright manipulative, it still seems to exert its subconscious influence on choice. Brand recognition also relies on availability bias. Branding ensures an otherwise identical product becomes more familiar, and so more available to be brought to mind. This familiarity alone has been shown to breed approval of the product, again subconsciously. In one study, subjects were played different snippets of music, different numbers of times. On average, they preferred the snippets that were played more frequently, although their conscious verbal explanation of their preferences made no reference to frequency.¹⁴ Griffiths discusses availability bias, but downplays its importance to the intangible output rationale for trade marks, arguing that availability bias is a 'cognitive' phenomenon,

¹³ J. Twitchell, 'Lead us into Temptation: The Triumph of American Materialism' (New York: Columbia University Press, 1999).

¹⁴ B. Schwartz, *The Paradox of Choice* (New York: Harper Collins, 2004) 54.

while in contrast ‘the appeal of some salient trade marks to consumers is based on much more than their cognitive availability and they engage with consumers at the emotional or psychological level’.¹⁵ For several reasons which must be confined to a footnote, I am unpersuaded by this argument.¹⁶

In any case, even without the distractions of availability or advertising, predictions concerning the satisfaction from future experiences are unreliable, so consumers fail to choose the best option.¹⁷ In particular, predictions are biased by the consumer’s current emotional state. Psychological evidence confirms the danger of buying more food than intended when shopping on an empty stomach.¹⁸ Similarly, catalogue shoppers ordering by telephone seem overly influenced by the current weather: warm clothes ordered on cold days are more likely to be returned later.¹⁹ And many people join gyms and health clubs which they subsequently barely use, because at the time of joining they focus on the health benefits, rather than how they will feel in the future when visiting the gym.²⁰

Consumers may also fail to choose what will maximize their welfare because they lack the self-control at the heart of consumer sovereignty. Self-control problems are ubiquitous, and putative cases such as cigarette smoking, obesity and TV viewing have been analysed by behavioural economists, with testable implications.²¹ For example, since they regard smoking as a self-control problem, behavioural economists predict that a cigarette price increase can lead to a rise in smokers’ welfare. In contrast, Chicago economics unsurprisingly offers a model of ‘rational addiction’, implying that the welfare of smokers falls as cigarettes become more

¹⁵ Griffiths, Chapter 11 of this volume, 253.

¹⁶ I am not a psychologist, but understand availability bias to be broader than Griffiths’ ‘availability heuristic’, not limited to dealing with complex decision-making situations where a simplifying ‘heuristic’ is required, and therefore potentially crossing into the ‘emotional’ realm. Besides, Griffiths offers no evidence that trade marks engage with consumers primarily at an emotional rather than cognitive level.

¹⁷ See D. Kahneman and R. Thaler, ‘Utility Maximisation and Experienced Utility’ (2006) 20 *Journal of Economic Perspectives* 221, and G. Loewenstein, and D. Schkade, ‘Wouldn’t it be Nice? Predicting Future Feelings’ in D. Kahneman, E. Diener and N. Schwarz (eds.), *Well-Being: The Foundations of Hedonic Psychology* (New York: Russell Sage, 1999).

¹⁸ R. Nisbett and D. Kanouse, ‘Obesity, Hunger, and Supermarket Shopping Behavior’ (1968) 3 *Proceedings of the Annual Convention of the American Psychological Association* 683.

¹⁹ Unpublished research cited in Kahneman and Thaler, ‘Utility Maximisation’ 224.

²⁰ S. DellaVigna and U. Malmendier, ‘Paying Not to Go to the Gym’ (2006) 96 *American Economic Review* 694.

²¹ A. Offer, *The Challenge of Affluence* (Oxford: Oxford University Press, 2006), provides a rich historical survey.

expensive.²² An opportunity to test these rival predictions arose in Canada, when tobacco taxes were increased in some provinces but not others. Happiness surveys across these provinces gave firm support to the self-control-based explanation.²³

To sum up, just because a consumer is willing to pay (more) for a product, this does not imply the consumer obtains (more) benefit from it. Consumer preferences are easily manipulated by the marketing which trade marks facilitate; even if we pursue our true preferences unhindered, phenomena such as self-control problems and misprediction of future satisfaction suggest we may struggle to make the welfare-maximizing choice.

Behavioural economics has largely entered mainstream economic thought, as evidenced by the Nobel Prize in Economics recently awarded to one of its pioneers, Daniel Kahneman. Happiness research looks set to follow it shortly, because, after generations of scepticism, economists are increasingly persuaded that 'happiness', or some form of subjective well-being, can be meaningfully measured.²⁴ But whatever the merits of happiness research and behavioural economics, I believe that a better understanding of the influence of trade marks on consumers will be found in psychology, sociology and anthropology, rather than through the *homo economicus* worldview underpinning Law-and-Economics. Finally, even if we ignore happiness and behavioural economics, the methodological position of Chicago economics is hard to defend. A theoretical framework is needed in which it is possible to ask key questions without them being ruled out as conceptually incoherent, questions like 'Although the consumer is willing to pay more for it, does the trade-marked product offer any extra benefit?' and 'Was the consumer misled into choosing the product?' We may decide after reviewing the psychological evidence that the WTP test remains in many cases the best indicator of consumer benefit, but Law-and-Economics threatens to prevent that debate from even commencing.

²² G. Becker and K. Murphy, 'A Theory of Rational Addiction' (1988) 96 *Journal of Political Economy* 675.

²³ A. Stutzer and B. Frey, 'What Happiness Research can Tell us about Self-Control Problems and Utility Misprediction' in B. Frey and A. Stutzer (eds.), *Economics and Psychology: A Promising New Cross-disciplinary Field* (Cambridge, Mass.: MIT Press, 2007).

²⁴ The most persuasive evidence is arguably the robust correlation between self-reported happiness (as measured in surveys) and objective measurements concerning particular patterns of brain activity. See, for instance, R. Layard, *Happiness: Lessons from a New Science* (London: Penguin, 2005), and C. Camerer, G. Loewenstein and D. Prelec, 'Neuroeconomics: How Neuroscience can Inform Economics' (2005) 43 *Journal of Economic Literature* 9.

The costs and benefits of trade marks

I have reviewed the two arguments discussed by Griffiths suggesting that trade marks provide social benefits. Griffiths rightly emphasizes that these arguments are at best incomplete: once the goal of social welfare maximization is assumed, a broader assessment of both the costs and benefits of trade mark law is required. This is an ambitious project which Griffiths introduces in section 4, but I have a number of worries about the way he frames the problem. First, it is unclear to me whether the two rationales for trade marks are simultaneously applicable. As already noted, the search costs rationale relies on perfect competition, while the intangible output rationale implies that products will be highly differentiated, this differentiation being essential for their ability to support distinctive meanings, identities or status attributes. But product differentiation and perfect competition do not mix.²⁵

Second, Griffiths acknowledges that the costs of granting trade mark protection may fall on consumers as well as other traders, but I do not see how these costs can be properly analysed without acknowledging that consumers can be manipulated and misled – in other words, without dropping the sovereign consumer assumption that is implicit in Griffiths' repeated references to the 'value' of the intangible output.

Third, Griffiths misses some obvious but intractable difficulties with attempting any kind of cost–benefit analysis. When discussing the argument that 'the value-adding capacity of a strong trade mark as a form of intangible output merits protection on the same basis as the patent and copyright systems', Griffiths rightly notes that, for the analogy with patents and copyrights to make sense, the granting of trade mark protection must be 'a necessary incentive for the production of the intangible output'.²⁶ But he ignores the problem that, unlike copyrighted books and patented inventions, intangible outputs such as brand identities are hardly ever capable of independent existence. Thus they have no separate price in markets, on which a cost–benefit valuation could be based. (It would be interesting to see how much consumers might be willing to pay for a stick-on Nike 'Swoosh' that could be applied to unbranded clothing, but fraught with practical difficulties.)

Fourth, while Griffiths acknowledges that extending current patterns of trade mark protection might lead to overprotection, he seems curiously concerned to avoid *reducing* existing levels of protection. For instance, he

²⁵ A recent discussion which notes this tension is G. Ramello, 'What's in a Sign? Trademark Law and Economic Theory' (2006) 26 *Journal of Economic Surveys* 556.

²⁶ Griffiths, Chapter 11 of this volume 27.

objects to the ‘likelihood of confusion’ requirement on the grounds that ‘focusing on the actual perception of consumers could lead to a contraction of the standard zone for strong trade marks’, but does not explain why that would be an undesirable development in the law.²⁷ Of course, a full cost–benefit analysis of trade mark law is just as likely, a priori, to recommend reducing the scope of trade mark protection as expanding it. A suggestive example must suffice here. The economic analysis of trade mark infringement usually emphasizes the welfare losses from consumers being misled, and ultimately the quality of all goods in the market deteriorating, because the original trade mark owner cannot afford to charge a premium following the loss of credibility of the sign. But if the counterfeiting production takes place abroad, economic models have suggested that the overall effect of trade mark infringement can be welfare-enhancing.²⁸

There are also more fundamental problems with the calculus of cost–benefit analysis. I have alluded loosely to ‘welfare’ and ‘social benefit’ as its units of measurement. How does Law-and-Economics define these units? Griffiths is uninformative: ‘Law-and-Economics is concerned with how legal rules can improve and increase social welfare or ‘wealth’... Allocative efficiency measures social welfare according to how far economic resources are allocated to those who value them most or who can derive the greatest return from them.’²⁹

This is as close as Griffiths comes to defining social welfare. It suggests that social welfare is measured by actual or hypothetical willingness to pay, so that social welfare is maximized when resources are allocated to those willing to pay the most for them. There are several problems with this approach. To begin with, as already noted, ‘utility maximization’ for most economists means nothing more than ‘doing what you want to do’. They prefer to keep economics neutral between different views about what will make a person’s life go better, that is, increase that person’s welfare. So they reject a definition of welfare which equates it to wealth, and, relatedly, a definition of welfare improvement in terms of willingness to pay. And other economists reach the same conclusion for different reasons: they endorse a more objective account of welfare, according to which some wealth changes, for some people in some situations, simply fail to correspond to welfare changes. For example, on Amartya Sen’s capabilities approach, an improvement in educational opportunities for

²⁷ Ibid. 261.

²⁸ See Ramello, ‘What’s in a Sign?’ 555, and G. Grossman and C. Shapiro, ‘Counterfeit-product Trade’ (1988) 78 *American Economic Review* 59.

²⁹ Griffiths, Chapter 11 of this volume, 243.

Ann might constitute a welfare improvement for Ann, regardless of whether she was actually or hypothetically able or willing to pay for them.

Setting these issues aside, individual welfare cannot be measured in terms of money (willingness to pay) and simply summed across individuals. Ignoring the flaws in consumer sovereignty mentioned earlier, monetary expressions of welfare are not in general comparable across individuals. Since the benefit from a marginal unit of money varies across individuals (usually it declines as wealth increases), different individuals may be willing to pay the same amount for some product, say £100, but this does not imply it yields them equal benefit, or provides equal welfare to them. An important consequence is that aggregate willingness-to-pay may not even track the direction of a welfare change, let alone its magnitude. For example, consider a policy which is favoured by a small number of rich people, but opposed by a much larger number of the poor. It might produce gains for the rich (whose positive willingness-to-pay valuations are ‘inflated’, since their marginal value of money is lower) and losses for the poor (whose negative valuations are correspondingly ‘deflated’), such that the aggregate monetary valuation is positive, even though the policy reduces aggregate welfare. Accordingly, it is possible that a proposal to extend trade mark protection could pass a cost–benefit test, measured in terms of aggregate willingness-to-pay, while reducing aggregate welfare, because the beneficiaries are relatively much wealthier than the losers.³⁰

Next, even supposing we have interpersonally comparable data on welfare, it should not be assumed without argument that social welfare is obtained just by adding up individual welfares. This may be an entirely uncontroversial assumption in the tradition of Law-and-Economics following Posner, but it is highly controversial among ethicists and welfare economists. Only Benthamite utilitarians define social welfare in this simplistic way. Other possibilities include social welfare as the weighted sum of individual welfares, the multiplication of them, or a Rawlsian social welfare function which gives priority to the worst-off individual.

Finally, it is worth noting in passing that ethical frameworks from Kantianism to libertarianism pay no attention to welfare maximization at all, or at least maintain that it must be balanced against other morally relevant considerations. These traditions appear to be very much alive in

³⁰ The Kaldor-Hicks compensation test does not offer a satisfactory resolution of the problem here. Following I. Little, *A Critique of Welfare Economics* (Oxford: Clarendon Press, 1950), most economists are now sceptical that a *potential* Pareto improvement has any normative significance per se. Besides, the Kaldor-Hicks ‘test’ has been proven to exhibit various internal inconsistencies and cycles (see J. Chipman and J. Moore, ‘The New Welfare Economics 1939–74’ (1978) 19 *International Economic Review* 547).

other areas of law, and so Griffiths' narrow focus on Benthamite utilitarianism needs justifying.³¹

Conclusion

Griffiths outlines two rationales for trade mark protection. The argument that trade marks protect valuable intangible output turns out to be dependent on many of the same economic presuppositions as the more standard search costs explanation. Both these rationales, as Griffiths lays them out, adopt a perspective on Law-and-Economics which relies heavily on a 'Chicago' view of economics. I remain surprised by the dominance of this economic worldview in thinking about trade mark law. Chicago economics no longer reflects mainstream economic thought (if it ever did), and the gap has recently widened with developments in behavioural economics, happiness research and our understanding of the ubiquitousness of increasing returns to scale. It is to be hoped that the economic analysis of trade mark law will soon be revised in light of these developments.

³¹ Compare, for instance, M. White, 'A Kantian Critique of Law and Economics' (2006) 18 *Review of Political Economy* 235.

